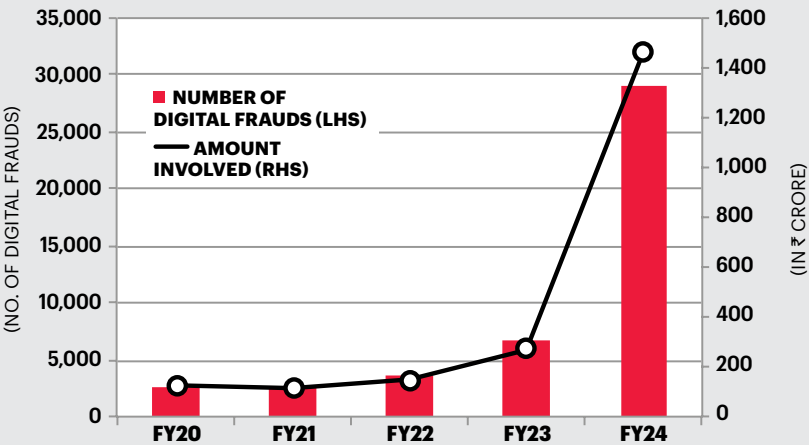


PLENTY MORE PHISH

The majority of the frauds reported by private sector banks involved small-value cards and internet-based scams



NOTE DATA INCLUDES BOTH CARD AND INTERNET FRAUDS; SOURCE RBI ANNUAL REPORT

digital transactions, particularly through the unified payments interface (UPI), which experienced a 137% rise over the past two years,” says Ruchin Kumar, VP-South Asia of enterprise data security solutions provider Futorex.

As per a recent report by Kearney-Amazon Pay, retail digital payments in India surged to \$3.6 trillion in FY24 from \$500 billion in FY19—at a CAGR of 48.4%. With more and more people embracing digital payments in the country, “there is an urgent need for stronger cybersecurity measures to protect a largely non-tech-savvy population from evolving cyber threats to financial and personal data,” says Kumar.

TYPES OF FRAUDS

While digital scams only made up 10% of all financial frauds in FY24 in terms of value, they constituted 81% of the total number of frauds. An increasing number of digital frauds shows that fraudsters are using newer methods to entrap vic-

tims. While one kind of recent fraud involves phone calls from a fake gas representative like with Srivastav, there are many other types of scams.

Other common types include phishing, in which unsolicited emails or messages trick you into divulging personal details, and vishing, in which fraudulent phone calls and text messages request sensitive information. In SIM swapping, fraudsters duplicate your SIM card to intercept one-time passwords (OTPs). Card fraud involves the unauthorised use of your credit or debit card, while identity theft means stealing your personal information to commit fraud. Account takeover happens when hackers gain access to your online accounts through malware to steal money or data. Understanding these types of digital fraud can help you stay safe online (see chart ‘Digital Deceptions’).

New technologies, such as AI, have simplified and accelerated many aspects of our lives, but they have also brought about a new danger. “This is especially true for the

financial realm, where AI has been used to manipulate people and extract money from them fraudulently,” says Adhil Shetty, CEO of on-line financial services marketplace BankBazaar.com.

Deepfakes are among the most infamous forms of AI fraud; they entail imitating a person’s voice or picture to trick people—often targeting their loved ones or acquaintances. The common modus operandi of this scam is to create a deepfake audio or video of a person, portraying them as being in distress and urgently in need of money. “Hoax calls are made to unsuspecting victims demanding money. The biggest challenge posed by such scams is how difficult they can be to identify as they involve a fair bit of emotional manipulation,” says Shetty.

Given the prevalence of these scams, it’s important to exercise caution when receiving calls from unknown numbers. For example, in the case of a video deepfake, there is often a lag between the voice and video. Be mindful of any long pauses during the call. It is advisable to refrain from immediately responding to distress calls. “While it is emotionally distressing to find out your loved one is in trouble and needs immediate monetary help, always check with the concerned person. This can greatly reduce your chances of falling victim to such a scam,” says Shetty.

In order to maintain a robust security posture in today’s digital world, banks and fintech companies are deploying Hardware Security Modules (HSMs) both on-premises and in the cloud. HSMs secure digital keys for robust authentication and handle cryptographic data in accordance with the Digital Personal Data Protection Act. Banks also detect and prevent fraud by monitoring real-time transactions. AI-driven predictive